

Now, along the same lines, some commentators have argued that a variable annuity with a GLiB can actually be treated as a “bond substitute” in the overall asset allocation. They go so far as to view the entire V.A. + GLiB package as a bond. This, I tend to disagree with. Remember that you cannot cash in and get your money back at any time without incurring withdrawal fees, and you must wait (for a long time) to get all your money back. Thus, in some cases you have to wait for decades before you get the guaranteed return that is promoted on these products. This is very different from a conventional bond.

That said, once again, granting investors an equity put option should give the investor greater confidence to take on equity market risk, and one doesn’t require a bond classification to achieve this result. It is a different product class. It is not a bond, stock, or balanced fund—it is a new category.

The Bottom Line

Notwithstanding the disparate threads I weaved into this chapter, the main practical takeaway point is as follows: My extensive analysis, and the view of many of my esteemed colleagues in academia and beyond, leads me to conclude that in most cases retirees will *not* be able to finance a sustainable retirement income with only one or two traditional product classes, basic mutual funds, or conventional income annuities. Indeed, all three product categories—income annuities, mutual funds, and variable annuities with embedded guarantees—mixed and matched in various combinations are required to maximize one’s retirement sustainability quotient (RSQ). As you get closer to retirement, you will develop a better sense of your needs and feasible estate goals. We leave it in the hands of individuals and their financial advisors to determine the exact proportions that balance their own retirement risks with the desire for a financial legacy. In sum, retirement income is not an all-or-nothing, now-or-never proposition. Diversify across products and across time.